Strategic Benchmarking of Student Housing Policies:
An Analysis of Residency Mandates and Retention Correlation (2023-2025)

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Abstract

This research provides a comprehensive benchmarking analysis of housing residency policies and their correlation with student persistence. The study evaluates a strategic sample of 22 institutions, consisting of primary Midwest public universities and designated peer competitors of Illinois State University. By segmenting institutions into three operational models : Voluntary, Freshman-Only, and Extended Residency; this report quantifies the "Retention Lift" associated with on-campus living requirements. Findings suggest a U-shaped correlation where both total autonomy and two-year mandates outperform the traditional one-year requirement.

1 Introduction

The objective of this study is to determine if sophomore residency mandates serve as an effective administrative lever for increasing freshman-to-sophomore retention. Institutions were analyzed based on verified 2023–2025 residency requirements and official institutional retention data. This report seeks to provide university leadership with a data-driven foundation for evaluating future housing policy adjustments and ensuring institutional competitiveness within the regional market.

2 Retention by Policy Tier

Data analysis reveals a "U-shaped" correlation. Both total autonomy and strict mandates outperform the standard one-year requirement. The "sophomore slump" appears most prevalent in Tier 2 institutions, where students are often pushed off-campus after only one year of residency.

Table 1: **Summary of Retention Rates by Residency Tier**

Housing Policy	Avg. Retention Rate	Strategic Implication
0-Year (None)	**80.4%**	Success driven by student choice and campus culture.
1-Year (Freshman Only)	76.3%	Most vulnerable to the “sophomore slump” exit.
2-Year (Fr. & Soph.)	**77.7%**	Resultant +1.4% lift over the 1-year baseline.

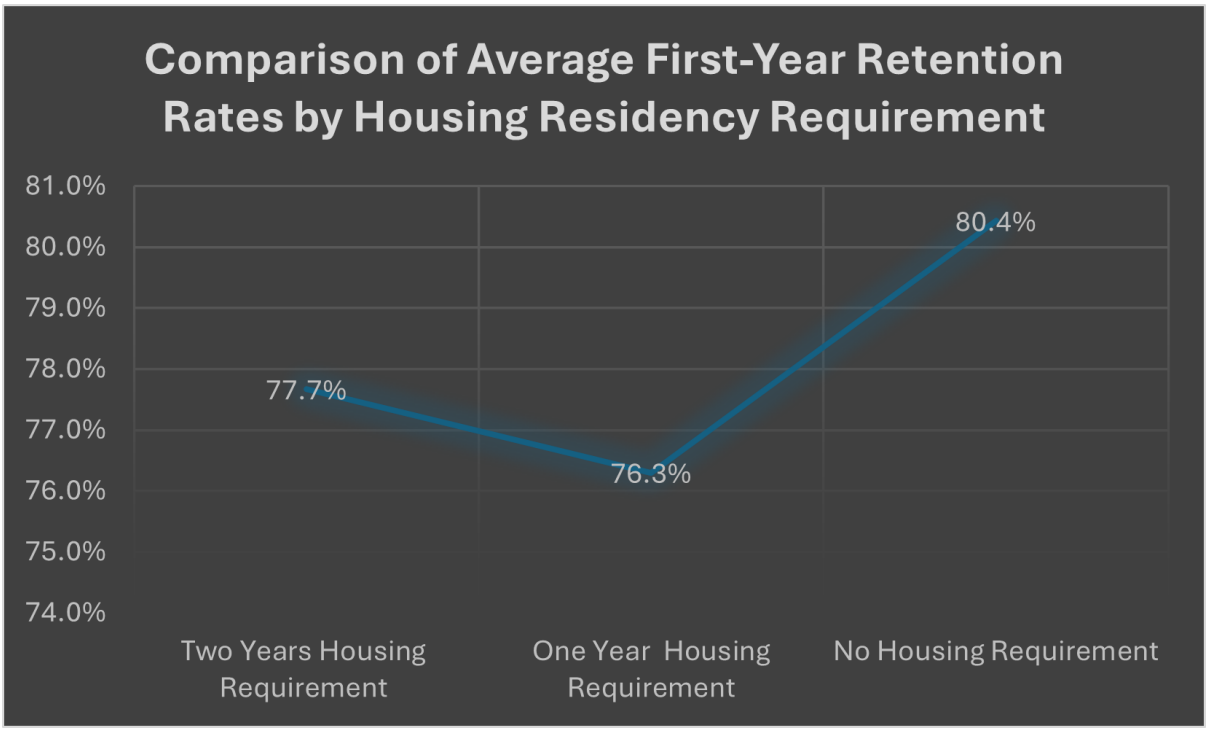

Figure 1: Average First-Year Retention Rates by Housing Residency Requirement

3 Institutional Data Sets

3.1 Tier 1: Voluntary Participation (No Mandate)

These institutions rely on desirability rather than obligation. The high average retention (80.4%) suggests that a value-driven residential experience can drive high persistence.

School Name	Policy Context	Retention
Univ. of Rhode Island	95% of freshmen choose to live on campus voluntarily.	84.0%
West Chester Univ. of PA	No Requirement (Optional).	83.0%
Cal State-Fresno	No Requirement (Optional).	82.0%
Western Michigan Univ.	No Requirement (Optional).	81.0%
Cal State-San Bernardino	No Requirement (Optional).	80.0%
Montclair State Univ.	No Requirement (Optional).	78.0%
Northern Arizona Univ.	No Requirement (Optional).	75.0%

3.2 Tier 2: Freshman Residency (One-Year Mandate)

The one-year mandate is the most common model but shows the lowest average retention (76.3%), indicating a high risk of attrition during the transition to off-campus housing.

School Name	Policy Context	Retention
James Madison Univ.	All first-year students required to live on campus.	92.0%
UNC-Charlotte	First-year mandate for FTIC only.	85.0%
Ball State Univ.	Mandate for first two semesters.	78.0%
Missouri State Univ.	Required for students under 21 with < 27 credits.	77.0%
SIU-Edwardsville	Freshmen living outside 25-mile radius.	76.0%
Northern Illinois Univ.	Freshmen with < 24 credit hours.	70.0%
Indiana State Univ.	Standard first-year mandate.	69.4%
SIU-Carbondale	Freshmen with < 26 credit hours.	63.0%

3.3 Tier 3: Extended Residency (Two-Year Mandate)

Tier 3 institutions, including Illinois State University, utilize a two-year requirement to stabilize the sophomore population, resulting in a measurable +1.4% lift over Tier 2.

School Name	Policy Context	Retention
Miami Univ.-Oxford	Required for first and second year students.	90.0%
UNC-Wilmington	Two-year on-campus requirement.	88.0%
Bowling Green State	Freshmen & Sophomores required to live on campus.	82.0%
Illinois State Univ.	**Required for first two years post-HS graduation.**	**81.9%**
Central Michigan Univ.	Mandate for Freshmen & Sophomores.	77.0%
Eastern Illinois Univ.	Required for first two years or < 48 credits.	68.0%
Western Illinois Univ.	Freshmen & Sophomores (< 60 credits).	61.0%

4 Conclusion and Recommendations

4.1 The Mandate Lift (+1.4%)

Among institutions using residency as a retention tool, the 2-year model is superior. The difference between Tier 2 and Tier 3 represents a significant volume of students retained who would otherwise exit the institution.

4.2 The Choice Paradox (80.4%)

The high performance of Tier 1 suggests that when students *choose* to stay on campus, they are highly likely to persist. This indicates that campus culture and facility quality are as powerful as policy mandates.

4.3 Final Recommendations

- **Maintain the 2-Year Mandate:** This remains the most reliable administrative tool for stabilizing enrollment floors and ensuring predictable revenue streams.
- **Transition to a Market-Driven Model:** To replicate the success of Tier 1 peers, the university should evolve from a compliance-based model to a value-driven residential experience.
- **Strategic Investment:** Focus on sophomore-focused housing designed around independence and community to ensure retention becomes a byproduct of value rather than obligation.